Executive Brief: Product Line Profitability & Margin Performance

Prepared for: Leadership & Strategic Advisory Board, Nassau Candy Distributor
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Operating Period: 24-Month Operating Window (January 2024 – December 2025)

Executive Overview

Nassau Candy Distributor generated $141,783.63 in gross revenue and $93,442.80 in gross profit across 10,194 customer transactions over the 24-month operating period, realizing an overall corporate gross margin of 65.91%. While top-line financial indicators appear robust, empirical unit economics and portfolio modeling reveal critical structural imbalances and single-point concentration risks that threaten operational stability:

- **Extreme Profit Concentration:** 95.06% of total company gross profit ($88,824.62) is generated by just five chocolate products, all manufactured at only two facilities (Lot's O' Nuts and Wicked Choccy's).
- **Severe Margin Erosion in Volume SKUs:** Kazookles generates $1,205.75 in wholesale sales but yields an unsustainable 7.69% gross margin, where direct manufacturing costs ($1,113.00) consume 92.3% of revenue ($0.25 profit per unit).
- **Category Neglect & Under-Distribution:** High-margin confections like Everlasting Gobstopper (80.0% margin) and Hair Toffee (77.8% margin) suffer from chronic under-distribution (<20 units sold over 24 months).

Key Financial Performance Scorecard

Metric	Measured Value	Benchmark Target	Variance & Health Status
Total Gross Revenue	$141,783.63	$130,000.00	+9.1% (Strong top-line volume)
Total Direct Cost	$48,340.83	$52,000.00	Cost baseline well-controlled
Total Gross Profit	$93,442.80	$85,000.00	+9.9% (Healthy profit pool)
Corporate Gross Margin	65.91%	60.00%	+5.91% (Healthy overall baseline)
Top 5 SKU Profit Share	95.06%	< 70.00%	**Severe Single-Category Reliance Risk**
Lowest SKU Margin	7.69% (Kazookles)	> 50.00%	**Severe Manufacturing Cost Burden (92.3%)**
Total Units Distributed	38,654 units	35,000 units	59 states and provinces served across 8,549 orders

Strategic Portfolio Segmentation (4-Quadrant Matrix)

Products are classified against empirical median sales ($1,205.75) and target corporate margin (60.0%):

NICHE OPPORTUNITIES (High Margin, Low Sales)

- Everlasting Gobstopper: 80.0% margin | $130 sales (13 units)
- Hair Toffee: 77.8% margin | $76.50 sales (17 units)
- Laffy Taffy: 62.3% margin | $53.73 sales (27 units)
- Fizzy Lifting Drinks: 60.0% margin | $78.75 sales (21 units)

Recommended Action: Deploy retail distribution incentives & bundle as premium add-ons to Wonka Bar wholesale orders.

CORE WINNERS (High Margin, High Sales)

- Wonka Nutty Crunch: 71.4% margin | $23,575 sales | $16,820 profit
- Wonka Scrumdiddlyumptious: 69.4% margin | $27,875 sales | $19,358 profit
- Wonka Fudge Mallows: 66.7% margin | $24,890 sales | $16,594 profit
- Wonka Triple Dazzle: 65.3% margin | $28,485 sales | $18,610 profit
- Wonka Milk Chocolate: 64.9% margin | $26,868 sales | $17,443 profit

Recommended Action: Protect cocoa manufacturing redundancy at Lot's O' Nuts and Wicked Choccy's plants.

RATIONALIZATION CANDIDATES (Low Margin, Low Sales)

- SweeTARTS: 46.7% margin | $61.50 sales (41 units)
- Nerds: 46.7% margin | $15.00 sales (10 units)
- Fun Dip: 40.0% margin | $12.00 sales (8 units)

Recommended Action: Discontinue open-stock picking; consolidate into 25-case Minimum Order Quantity (MOQ) variety sampler cartons.

VOLUME TRAPS (Low Margin, High Sales)

- **Kazookles: 7.69% margin | $1,205.75 sales | $92.75 profit (CRITICAL RISK)**
  Unit economics: $3.25 selling price vs. $3.00 factory cost ($0.25 unit profit).
- Lickable Wallpaper: 50.0% margin | $7,860.00 sales | $3,930 profit
- Wonka Gum: 52.0% margin | $597.50 sales | $310.70 profit

Recommended Action: Reprice Kazookles immediately to $4.50. Enforce Minimum Advertised Price (MAP) on Wallpaper.

Four Strategic Executive Recommendations

Pillar 1: Targeted Wholesale Repricing for Kazookles

Problem: Sells for $3.25 with direct cost of $3.00, yielding only $0.25 profit/unit (7.69% margin). A minor 8.5% freight or ingredient rise makes it cash-negative.

Solution: Increase wholesale list price to $4.50 per unit. Restores gross margin to 33.33% ($1.50 profit/unit) without capital expenditure.

Supplier Renegotiation: Audit production efficiencies at The Other Factory to target an 18% cost reduction (from $3.00 down to $2.45).

Pillar 2: Promotional Discipline on Volume Leaders

Enforce strict wholesale price discipline on Lickable Wallpaper ($7,860.00 sales, 50.00% margin) and eliminate off-invoice discounts.

Restructure Wonka Gum ($597.50 sales, 52.0% margin) into master multi-pack cartons to reduce pick-pack overhead.

Pillar 3: Minimum Order Quantities (MOQs) for Sugar Specialty

Problem: Fun Dip ($12.00 sales, 8 units), Nerds ($15.00 sales, 10 units), and SweeTARTS ($61.50 sales, 41 units) generated under $90 combined across two years.

Solution: Terminate open-stock single-unit picking. Consolidate into a 25-case MOQ 'Sugar Specialty Sampler Pack'.

Pillar 4: Commercial Expansion of High-Margin Lines

Capitalize on Everlasting Gobstopper (80.0% margin) and Hair Toffee (77.8% margin).

Incentivize commercial sales reps with bonus commissions to cross-sell Gobstoppers and Hair Toffee alongside top-volume Wonka Chocolate bar purchase orders.